

Annual Open Enrollment and 401(k) Update

Silverline Logistics • Q3 2026

MEMORANDUM: ANNUAL BENEFITS OPEN ENROLLMENT

To: All U.S.-Based Employees

From: Global Benefits Administration

Date: August 18, 2026

Subject: 2027 Open Enrollment Period and Retirement Plan Updates

Dear Team,

We are pleased to announce that the Annual Benefits Open Enrollment period for the upcoming 2027 plan year will run from Monday, September 14 through Friday, October 2, 2026. This is your annual opportunity to review, enroll in, or make changes to your health, dental, vision, and flexible spending accounts (FSA/HSA).

Key Changes for 2027:

- Medical Plan Premiums:** Despite rising national healthcare costs, Silverline Logistics is absorbing 85% of the premium increase for the PPO and High Deductible Health Plan (HDHP) options. Employee bi-weekly contributions will see a modest increase of 3.5%, effective on the first payroll of January 2027.
- New Telehealth Benefit:** We are introducing "VirtualCare Plus," providing all employees and their dependents 24/7 access to board-certified physicians, therapists, and psychiatrists with a \$0 copay, regardless of the medical plan chosen.

401(k) Retirement Plan Enhancements:

Effective January 1, 2027, we are transitioning to a "Safe Harbor" 401(k) matching structure. The company will now match 100% of your contributions up to the first 3% of your eligible compensation, and 50% on the next 2%. Additionally, all employer matching contributions will now vest immediately upon deposit, eliminating the previous three-year graded vesting schedule.

Action Required:

- If you wish to maintain your current medical, dental, and vision coverages, no action is required; your elections will automatically roll over.
- However, IRS regulations mandate that Flexible Spending Account (FSA) and Dependent Care FSA elections **MUST** be actively renewed every year. If you do not actively re-enroll, your contribution will default to \$0 for 2027.

Please log into the Workday Benefits Portal to review the updated premium schedules and summary of benefits and coverage (SBC) documents.